Solstice Retail Group (SRG) Pure Diagnostic Audit Report.

Goal

To determine which area represents the **single biggest threat to profitability and customer loyalty**, and which area holds the **single largest opportunity for growth**.

Data Source

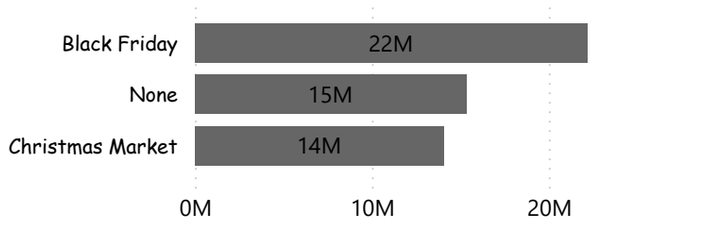
Data Analytica 3.0 (Data Analytics competition Data Set)

Core Challenge

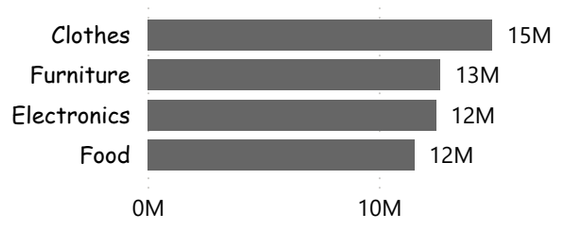
If Solstice Retail Group must make one major strategic change—either in PEOPLE, PRODUCT, or PROCESS—to achieve a 15% increase in Net Profit and a 1-point increase in Customer Satisfaction, what should that change be?

Financial Health & Product Strategy

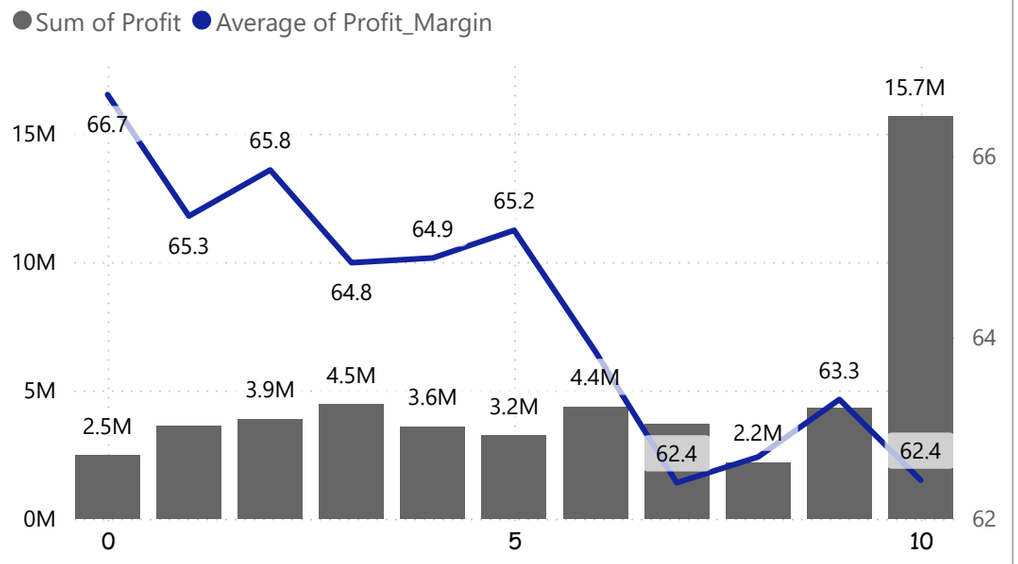
Sum of Profit by Event



Sum of Profit by Product Category



Sum of Profit and Average of Profit_Margin by discount



1220
Total Orders

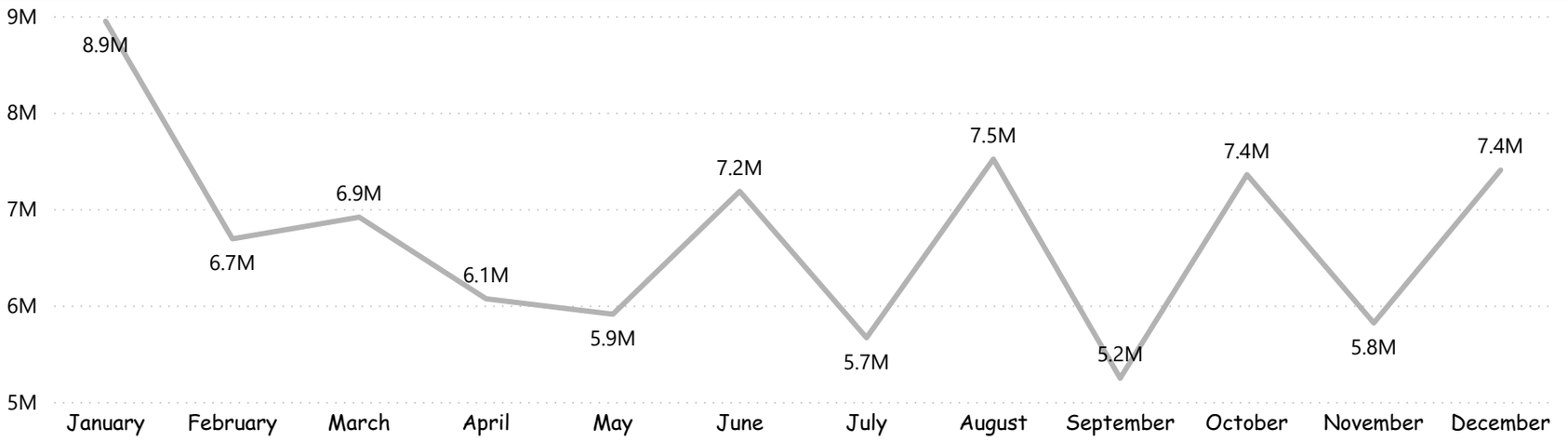
81M
Total Sales

52M
Total Profit

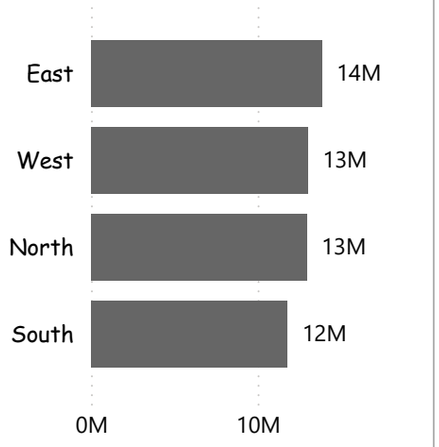
63
Avg Profit Margin

Product_Category	Black Friday	Christmas Market	None	**Total**
Clothes	62,75,008.26	36,36,840.57	49,91,903.71	**1,49,03,752.54**
Furniture	50,70,787.76	31,44,194.63	44,37,944.85	**1,26,52,927.24**
Electronics	50,46,103.97	44,73,766.76	29,38,074.51	**1,24,57,945.24**
Food	57,69,327.33	27,96,855.16	29,56,814.50	**1,15,22,996.99**
Total	**2,21,61,227.32**	**1,40,51,657.12**	**1,53,24,737.57**	**5,15,37,622.01**

Sum of Sales by Month



Sum of Profit by Region



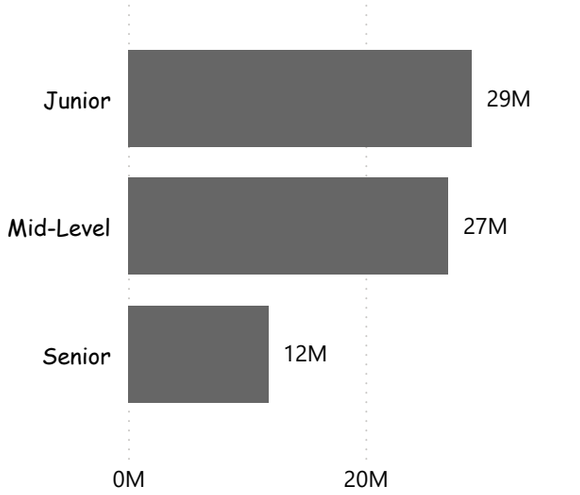
Human Capital & Compensation

6M
Total Annual Salary

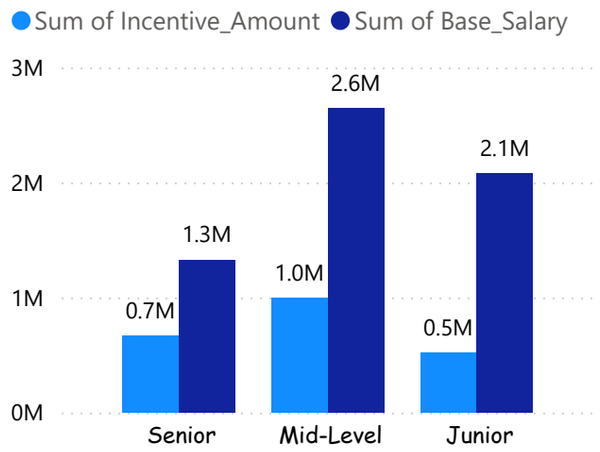
12
Total Reps

2M
Total Incentive Paid

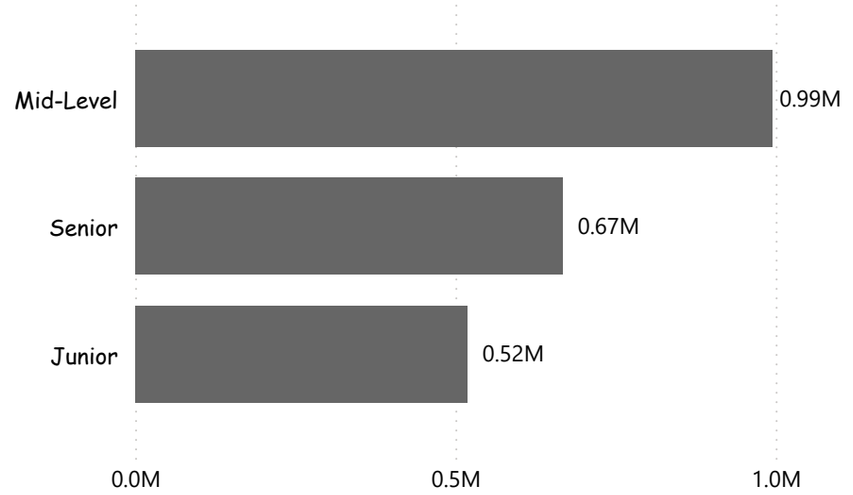
Sales by Experience Level



Salary vs Incentive Comparison by Level

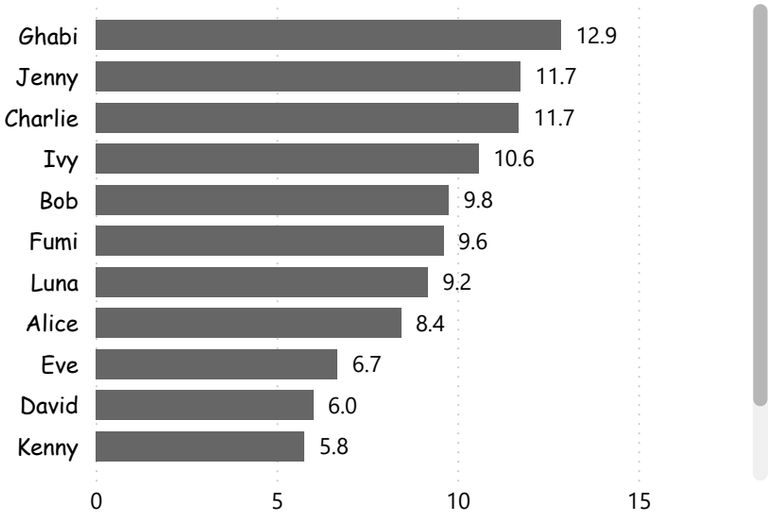


Incentive Paid by Experience Level



Employee Name	Experience Level	Base_Salary	Incentive_Amount	Sales	Profit	Rep_ROI
Ghabi	Junior	400000	1,18,691.29	66,65,751.19	42,99,204.19	12.85
Jenny	Junior	380000	1,01,255.42	56,47,714.33	35,89,660.33	11.74
Charlie	Junior	400000	1,06,557.47	59,21,468.83	37,60,250.83	11.69
Ivy	Junior	400000	92,066.51	52,01,878.20	32,88,357.20	10.57
Bob	Mid-Level	420000	2,40,960.68	64,51,249.06	41,39,744.06	9.76
Fumi	Mid-Level	400000	2,20,939.54	59,68,626.49	38,08,696.49	9.61
Luna	Junior	500000	1,00,072.34	55,04,702.56	35,13,403.56	9.17
Alice	Mid-Level	400000	1,77,070.13	48,65,599.44	31,28,326.44	8.43
Eve	Mid-Level	575000	1,84,820.38	50,76,440.64	32,41,214.64	6.68
David	Senior	800000	4,20,730.47	73,33,176.56	46,87,439.56	6.01
Kenny	Senior	525000	2,46,836.13	44,49,825.09	27,98,497.09	5.77
Harry	Mid-Level	850000	1,69,915.13	46,09,043.91	29,60,059.91	4.52
Total		**6050000**	**21,79,915.49**	**6,76,95,476.30**	**4,32,14,854.30**	**8.23**

Rep ROI by Employee Name



Customer Experience (CX)

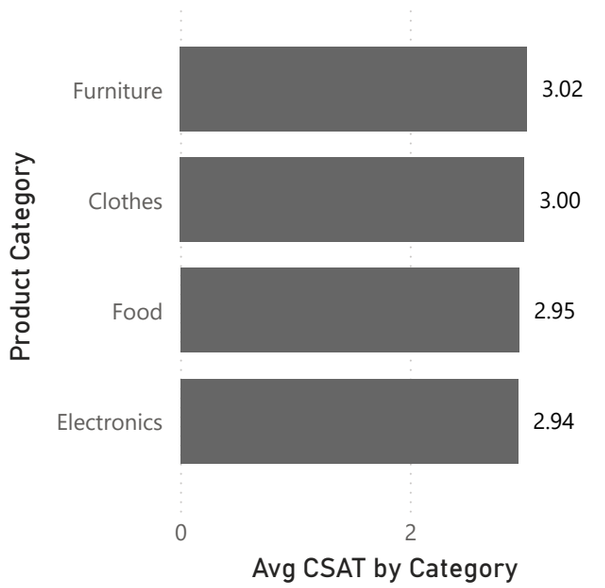
2.98
Avg CSAT Score

207
Very Poor Count

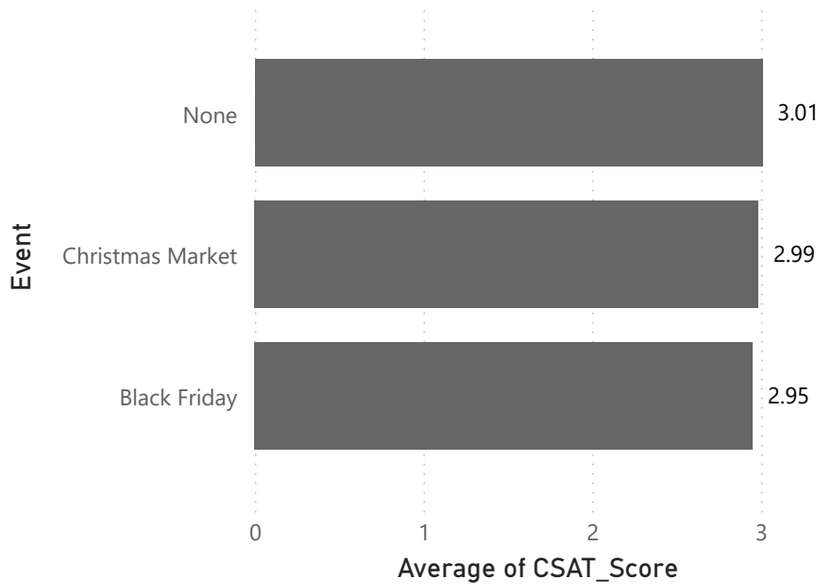
197
Very Satisfied C...

3.98
Target CSAT

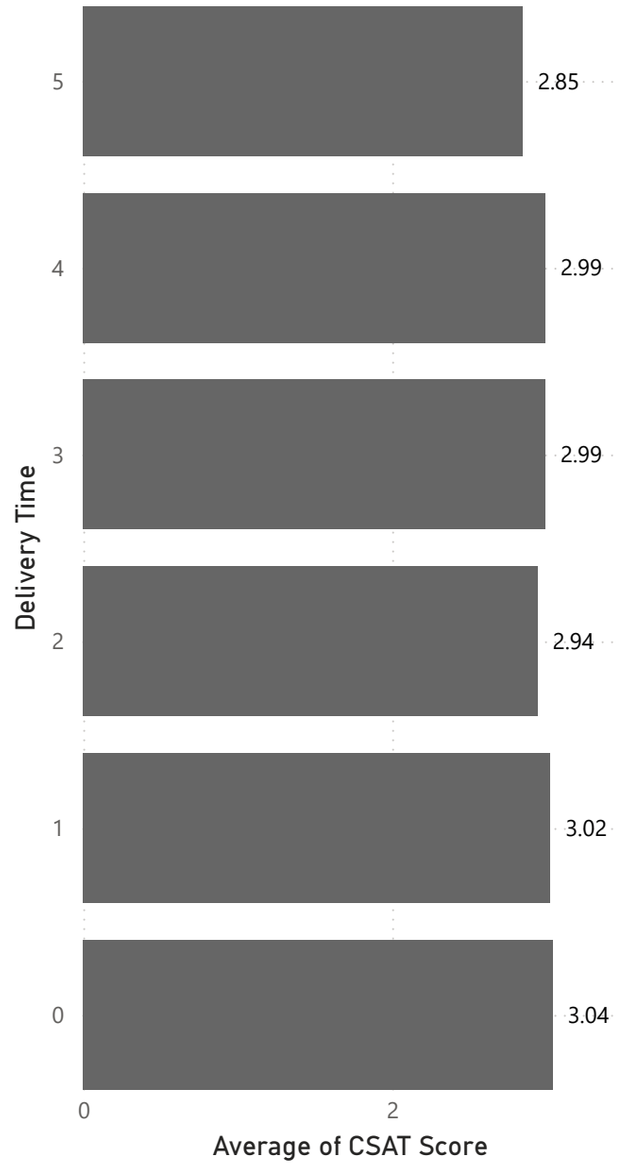
Avg CSAT by Product Category



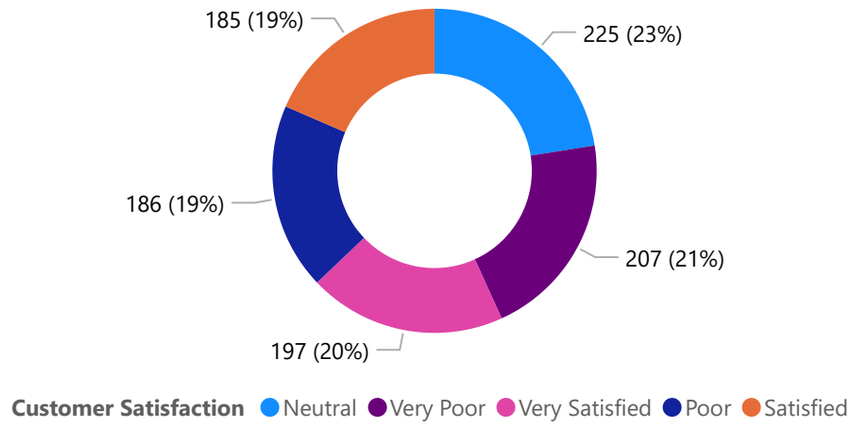
Avg CSAT by Event



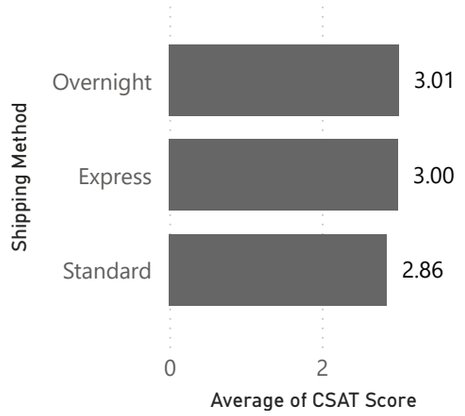
Avg CSAT by Delivery Time



CSAT Distribution



Avg CSAT by Shipping Method



Market & Demographics

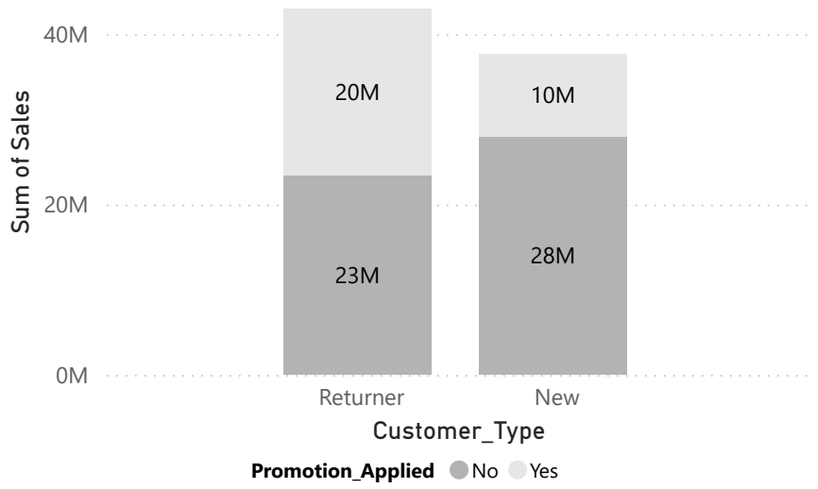
611
Returning Cust...

609
New Customers

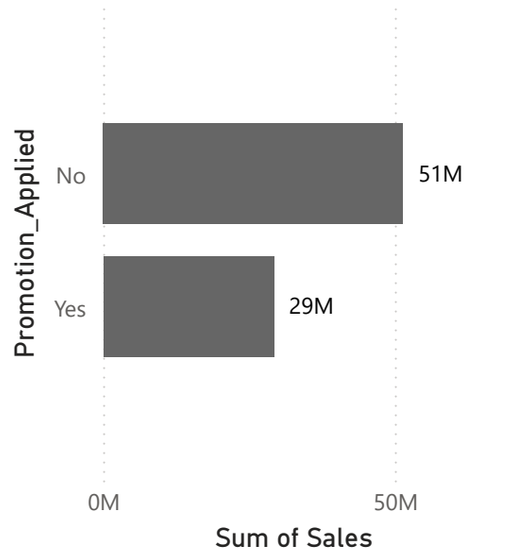
50.08
Returner %

619
Total Customers

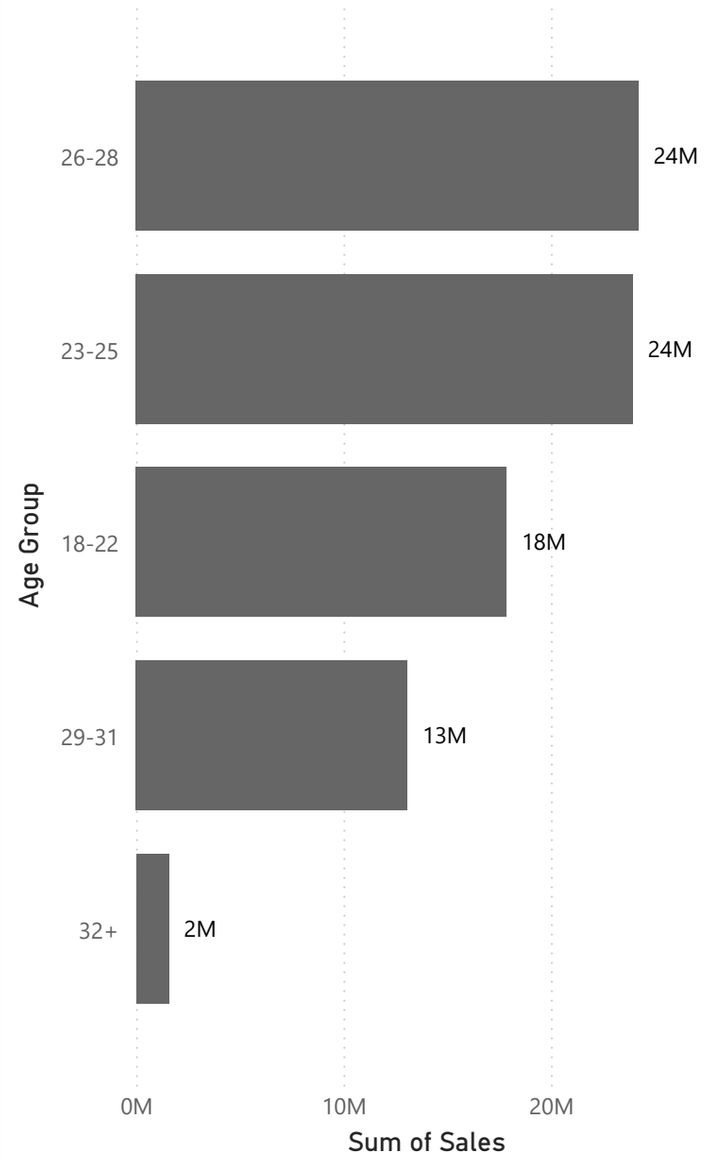
Promotion by Customer Type



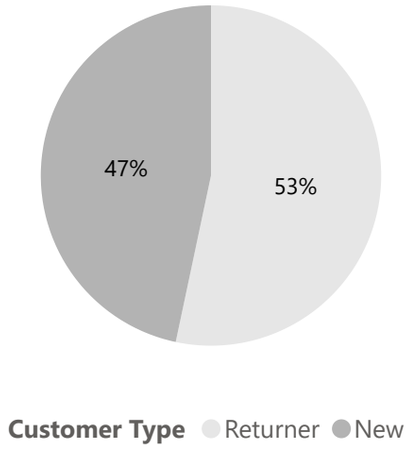
Promotion Impact



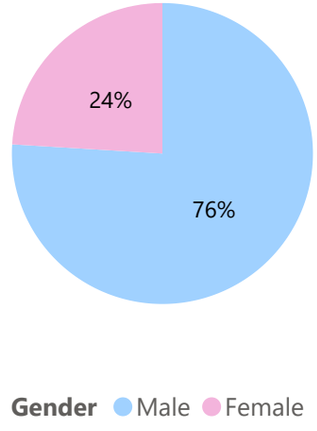
Sales by Age Group



New vs Returning Customers



Sales by Gender



Solstice Retail Group
People : Product : Process

People

- Senior ROI worst David 6.0, Kenny 5.8, Harry 4.52
- Inverted incentives Mid-level earns most incentive
- Concentration risk Top 3 reps = 30% of sales
- Junior reps excel Ghabi ROI 12.85- cheapest

Product

- Black Friday drives 42% ₹22M profit · event-dependent
- Clothes leads profit ₹15M · balanced across 4 categories
- Discounts broken Level 1 = ₹15.7M · others <₹5M
- Seasonal slump Mar–Aug trough · no strategy

Process

- Electronics CSAT lowest 2.94·fulfilment issues likely
- Events strain service Black Friday CSAT worst (2.95)
- CSAT crisis 2.98 vs target 3.98 · 1pt gap
- Standard shipping drags CSAT 2.86 · worst method

Customer & Market

- 76% male base Female = biggest growth gap
- Promos backfire New customers buy less with promo
- 50% retention rate Strong base, loyalty potential

Opportunity

Threat/risk

Warning

Neutral

Strategic Verdict
Fix PROCESS first

Strategic Verdict

"If Solstice Retail Group must make one major strategic change—either in PEOPLE, PRODUCT, or PROCESS—to achieve a 15% increase in Net Profit and a 1-point increase in Customer Satisfaction, what should that change be?

If forced to pick just one = the answer is **PROCESS**.
Here's the reason why:

- Fixing PEOPLE (compensation restructuring) boosts profit, but does not do much for CSAT.
- Fixing PRODUCT (discount strategy, seasonality) boosts profit, but again very little affects CSAT.
- Fixing PROCESS (fulfilment, standard shipping, peak-event operations) **directly raises CSAT** and **protects the profit spikes** that come from Black Friday and Christmas Market.

Why Process in detail

For CSAT (+1 point):

- Overhaul standard shipping — it scores 2.86, the lowest of all channels, and is likely the highest volume method. Even lifting it to match Express (3.00) closes ~0.10 points of the gap.
- Build event period operational capacity before Black Friday and Christmas Market. These events drive 42% + 27% of profit respectively, yet Black Friday has the worst CSAT (2.95). The volume surge is straining service quality. More staff, faster fulfilment, and proactive communication during peak windows can earn good amount of CSAT points here alone.
- Address Electronics fulfilment specifically — lowest category CSAT (2.94), likely due to damaged/defective product/delayed items.

For profit (+15%):

- Better process at events protects the ₹22M Black Friday profit spike. If poor service erodes repeat purchase rates, event revenue declines year on year.